

If there are 4 analysts: Each of them can have different true value estimate that they believe for the company.

An analyst must understand a company's basic fundamentals and conduct a detailed research to estimate the true value for themselves. It is a highly subjective interpretation.



Analyst A

"Shares of TATA company should be trading for 1500 Rs."

"TATA has a very high growth potential in EV and hence should be trading for Rs. 3000."



Analyst B

For this person stock of Rs. 2000 is really cheap. So we may buy.



Analyst C

"TATA Company should be trading at Rs. 2400"

"TATA Should be trading anywhere between the range of Rs. 1500-1800"



Analyst D

For this person stock of Rs. 2000 is really expensive. So we may sell.

Different analysts have different opinions of True value.

As a result, true value varies depending upon how each individual perceives the company. As previously mentioned, it does not have to be an exact value, and can be a range as well.

Now let's understand how true value and market value are linked together. Market value is the sum of true value and the sentimental value associated with the stock.